Practice workbook · Trade and current account balances

Exports minus imports for goods (visible), services (invisible) or both, or adding visible and invisible balances to get the current account.

7 question parts: 1 worked-example retry and 6 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

OLevels.com SCHOOL

Type ID: ECO-CALC-22

1. Question 1 · part e · 2 marks

2025 JUN · Paper 02

Worked-example retry · Attempt part e only.

1 (a) Which **one** of the following is the most likely reason for increased globalisation?

(1)

- ☒ **A** Higher number of tariffs and quotas
- ☒ **B** Lower transportation costs
- ☒ **C** Reduced significance of multinational corporations
- ☒ **D** Increased communication costs

(b) What is likely to happen if a government successfully reduces unemployment?

(1)

- ☒ **A** Inflation might rise as more people have money to spend
- ☒ **B** More people working leads to lower overall economic growth
- ☒ **C** Inflation decreases because people have less money to spend
- ☒ **D** Government spending on benefits would increase

(c) What is meant by the term trading bloc?

(2)

OLevels.COM SCHOOL

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

1. Question 1 · part e · 2 marks

2025 JUN · Paper 02

Worked-example retry · Attempt part e only.

(d) Describe **one** impact on consumers of an increase in interest rates.

(2)

Figure 1 shows imports and exports for a country in €bn.

	€bn
Exports of goods	150
Exports of services	40
Imports of goods	120
Imports of services	30

Figure 1

(e) Calculate the **visible trade balance** in €bn for the country. You are advised to show your working.

(2)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

1. Question 1 · part e · 2 marks

2025 JUN · Paper 02

Worked-example retry · Attempt part e only.

In 2024, France announced a €4bn subsidy package to support the production of hydrogen.

(f) Using the diagram below, draw the effects of the introduction of the subsidy on the equilibrium price and quantity of hydrogen in France. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

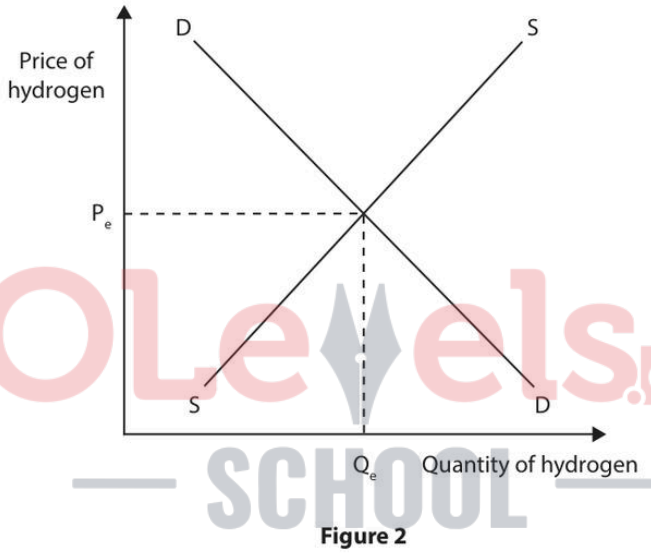


Figure 2

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

1. Question 1 · part e · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

2. Question 1 · part e · 2 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

1 (a) In a recovery, a country's Gross Domestic Product (GDP)

(1)

- ☒ **A** rises
- ☒ **B** falls
- ☒ **C** stays the same
- ☒ **D** fluctuates

(b) A trade bloc is a group of countries that have

(1)

- ☒ **A** the same interest rate
- ☒ **B** common borders between members
- ☒ **C** the same currency
- ☒ **D** a reduction in trade barriers between members

(c) What is meant by the term multinational corporation (MNC)?

(2)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

2. Question 1 · part e · 2 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

(d) Describe **one** impact of economic growth on the productive potential of a country.

(2)

Figure 1 shows the main components of Germany's current account in 2016.

	€ billion
Trade in goods (visibles)	+271.7
Trade in services (invisibles)	-22.4

Figure 1

(Source: Bundesbank)

(e) Using the data in Figure 1, calculate in € bn the current account balance for Germany in 2016.

(2)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

2. Question 1 · part e · 2 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

(f) The UK exports goods to eurozone countries. Using the diagram below, draw the effects of an increase in exports from the UK to the eurozone on the exchange rate of the £. Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

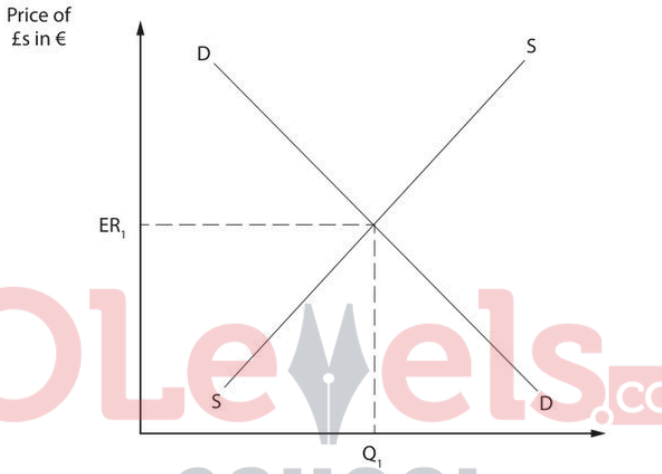


Figure 2

In September 2017, the growth rate of the gross domestic product (GDP) in the UK was 0.4%, a slight increase of 0.1% on the previous quarter.

(g) Explain **one** reason why economic growth is a key macroeconomic objective for a country such as the UK.

(3)

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

4

P 6 0 7 5 0 A 0 4 2 0

2. Question 1 · part e · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 1 · part e · 2 marks

2022 JUN · Paper 02

Further practice · Attempt part e only.

1 (a) A firm is described as a multinational corporation (MNC) if it

(1)

- ☒ **A** has shareholders in many countries
- ☒ **B** exports goods to other countries
- ☒ **C** is owned by the government
- ☒ **D** operates in more than one country

(b) An increase in which **one** of the following would be most likely to encourage saving?

(1)

- ☒ **A** Interest rate
- ☒ **B** Income tax rate
- ☒ **C** Exchange rate
- ☒ **D** Indirect tax rate

(c) What is meant by the term imports?

(2)

OLevels.com SCHOOL

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

3. Question 1 · part e · 2 marks

2022 JUN · Paper 02

Further practice · Attempt part e only.

(d) Describe **one** reason why governments make benefit payments.

(2)

Figure 1 shows the UK's imports and exports for the year ending July 2019.

	£bn
Imports	689.9
Exports	646.7
Total UK trade	1 336.6

Figure 1

(Source: Department for International Trade: UK Trade in Numbers September 2019)

(e) Using the data in Figure 1, calculate in £bn, **the current account** for the UK year ending July 2019. You are advised to show your working.

(2)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

3. Question 1 · part e · 2 marks

2022 JUN · Paper 02

Further practice · Attempt part e only.

In December 2019, the UK and the European Union (EU) negotiated North Sea fishing quotas for 2020. It was agreed to increase the fishing quota for haddock by 30%.

(f) Using the diagram below, draw the effects of the introduction of the new quota on the equilibrium price and quantity of haddock. Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

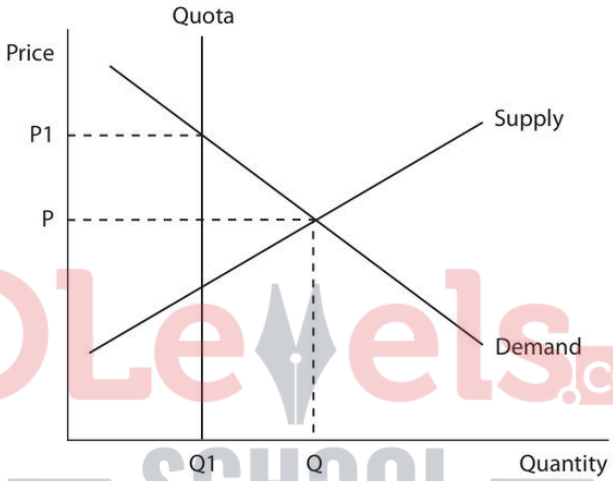


Figure 2

Norway had a current account surplus of 19.07bn Norwegian Krone (NOK) in the fourth quarter of 2019.

(g) Explain **one** possible reason why a country such as Norway had a current account surplus.

(3)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

P 6 6 3 2 9 A 0 4 2 4

3. Question 1 · part e · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

4. Question 1 · part e · 2 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

1 (a) Menu costs could be described as the costs of

(1)

- ☒ **A** searching for cheaper suppliers when inflation is high
- ☒ **B** paying workers for their labour
- ☒ **C** renting a factory
- ☒ **D** reprinting brochures when prices change

(b) Which **one** of the following is likely to cause demand pull inflation?

(1)

- ☒ **A** A decrease in productivity
- ☒ **B** A decrease in government spending
- ☒ **C** An increase in the consumption of goods
- ☒ **D** An increase in interest rates

(c) What is meant by the term imports?

(2)

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

4. Question 1 · part e · 2 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

(d) Describe the impact on the demand for a currency after an increase in interest rates.

(2)

Figure 1 shows Canada's imports and exports for the year ending 2020.

	CAD$bn
Imports	561
Exports	524
Total Trade	1 085

Figure 1

(Source: https://www150.statcan.gc.ca/n1/daily-quotidien/210414/dq210414a-eng.htm)

(e) Using the data in Figure 1, calculate in CAD$bn the **current account** for Canada for the year ending 2020. You are advised to show your working.

(2)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

4. Question 1 · part e · 2 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

(f) Label the boxes in the diagram below with the three remaining stages of the economic cycle.

(3)

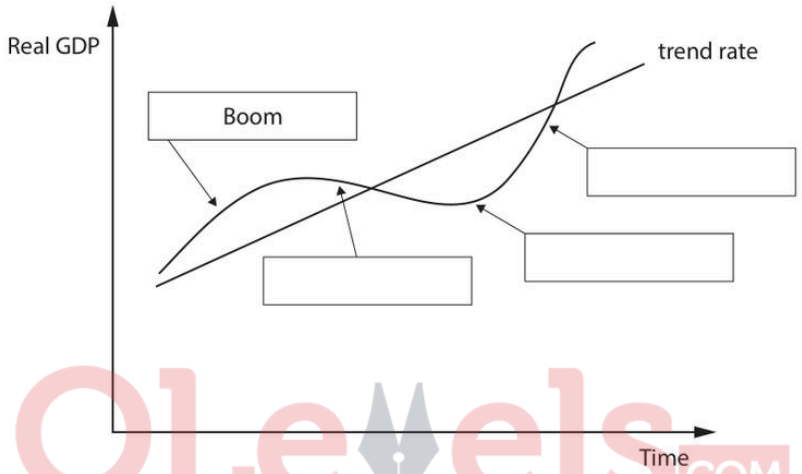


Figure 2

The Scottish Government is introducing a new benefit payment that will give 400,000 low income households £50 every winter towards their energy bills.

(g) Explain **one** reason why the Scottish Government gives benefit payments.

(3)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

P 7 4 0 5 9 R A 0 4 2 4

4. Question 1 · part e · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

5. Question 1 · part e · 2 marks

2024 NOV · Paper 02

Further practice · Attempt part e only.

1 (a) Which **one** of the following is a reason why a government wants to reduce poverty and inequality?

(1)

- ☒ **A** It is a legal requirement
- ☒ **B** To increase the gap between rich and poor
- ☒ **C** For basic needs to be met
- ☒ **D** To increase relative poverty

(b) Which **one** of the following is a benefit of using gross domestic product (GDP) as a measure of growth?

(1)

- ☒ **A** It considers the distribution of income
- ☒ **B** It is an accurate measurement of all economic activity
- ☒ **C** It takes inflation into account
- ☒ **D** It is easy to compare economic growth between countries

(c) What is meant by the term deflation?

(2)

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

5. Question 1 · part e · 2 marks

2024 NOV · Paper 02

Further practice · Attempt part e only.

(d) Describe the impact of a reduction in the cost of communication on globalisation.

(2)

Figure 1 shows imports and exports for a country in $bn.

	$bn
Exports of goods	100
Exports of services	26
Imports of goods	87
Imports of services	16

Figure 1

(e) Calculate the **invisible trade balance** in $bn for the country. You are advised to show your working.

(2)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

P 7 5 9 5 5 A 0 3 2 8

3

Turn over ▶

5. Question 1 · part e · 2 marks

2024 NOV · Paper 02

Further practice · Attempt part e only.

In August 2024, India removed a tariff on imports of tomatoes from Nepal.

(f) Using the diagram below, draw the effects of the removal of the tariff on the equilibrium price and quantity of tomatoes in India. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

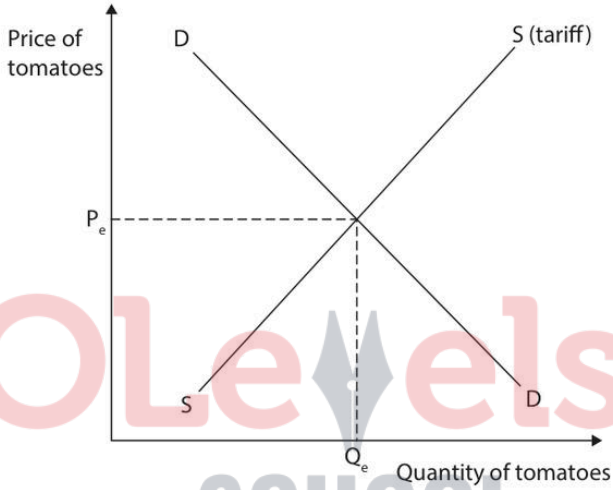


Figure 2

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

P 7 5 9 5 5 A 0 4 2 8

5. Question 1 · part e · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

6. Question 3 · part b · 1 mark

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

3 (a) Which **one** of the following is a feature of being a member of a trading bloc?

(1)

- ☒ **A** Higher tariffs on exports to other members within the bloc
- ☒ **B** Slower delivery times for goods within the bloc
- ☒ **C** Can only trade with members within the bloc
- ☒ **D** Access to a larger market within the bloc

Figure 3 shows imports and exports for a country in $bn.

	$bn
Exports of goods	300
Exports of services	80
Imports of goods	240
Imports of services	50

Figure 3

(b) What is the **visible trade balance** in $bn for the country?

(1)

- ☒ **A** $30bn
- ☒ **B** $60bn
- ☒ **C** $90bn
- ☒ **D** $250bn

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

6. Question 3 · part b · 1 mark

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

The fiscal deficit of the US is expected to increase from $1.6tn to $2.6tn over the next 10 years.

(c) Explain **one** possible disadvantage of having a fiscal deficit for a country such as the US.

(3)

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

6. Question 3 · part b · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

7. Question 3 · part b · 1 mark

2025 NOV · Paper 02

Further practice · Attempt part b only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

3 (a) In times of inflation, which **one** of the following is a shoe leather cost when purchasing a mobile phone online?

(1)

- ☒ **A** The cost of updates to the website due to higher prices for mobile phones
- ☒ **B** The cost of raw materials for producing a mobile phone
- ☒ **C** The cost of shipping and handling fees for online orders
- ☒ **D** The cost to consumers of looking for the lowest price of mobile phones

In 2023, the total value of UK exports to Spain was £19.9bn and the total value of imports from Spain into the UK was £44.2bn.

(b) Calculate the trade balance between the UK and Spain in 2023.

(1)

- ☒ **A** A trade surplus of £24.3bn
- ☒ **B** A trade surplus of £64.1bn
- ☒ **C** A trade deficit of £24.3bn
- ☒ **D** A trade deficit of £64.1.bn

OLevels.COM — SCHOOL —

7. Question 3 · part b · 1 mark

2025 NOV · Paper 02

Further practice · Attempt part b only.

In 2024, a new childcare subsidy was offered to working parents in Northern Ireland.

(c) Using the diagram below, draw the effects of the introduction of a subsidy on the equilibrium price and quantity of childcare in Northern Ireland. Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

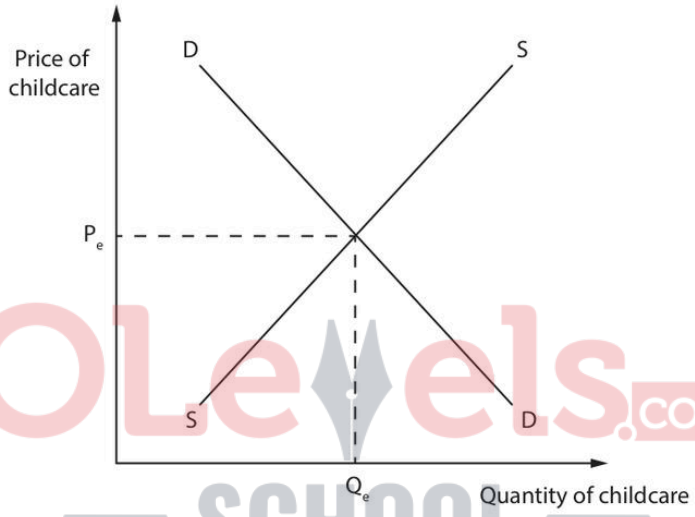


Figure 3

OLevels.COM SCHOOL

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

P 7 8 9 6 3 A 0 1 4 2 8

7. Question 3 · part b · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL